

NovaTech Solutions Pvt. Ltd.

Annual Financial Report — FY 2023-24 | For Internal and Investor Use

This Annual Financial Report presents the audited financial performance of NovaTech Solutions for the financial year ending March 31, 2024. The report covers revenue performance, cost structure, profitability, segment analysis, risk assessment, and strategic outlook. All figures are in Indian Rupees (INR) unless otherwise stated.

Section 1: Financial Highlights FY 2023-24

Metric	FY 2023-24	FY 2022-23	YoY Growth
Total Revenue	Rs. 284 Crore	Rs. 221 Crore	+28.5%
Gross Profit	Rs. 142 Crore	Rs. 103 Crore	+37.9%
EBITDA	Rs. 61 Crore	Rs. 42 Crore	+45.2%
Net Profit	Rs. 38 Crore	Rs. 24 Crore	+58.3%
EBITDA Margin	21.5%	19.0%	+250 bps
Net Profit Margin	13.4%	10.9%	+250 bps
Employee Count (year end)	1,842	1,391	+32.4%
Revenue per Employee	Rs. 154 Lakh	Rs. 159 Lakh	-3.1%

Section 2: Revenue Analysis

2.1 Revenue by Business Segment

NovaTech operates through three segments: SaaS Products, Professional Services, and Managed Services. SaaS Products contributed 58% of total revenue (Rs. 164.7 Crore), growing 41% YoY driven by NovaCRM enterprise license additions and NovaPay expansion across NBFC clients. Professional Services contributed 27% (Rs. 76.7 Crore), Managed Services 15% (Rs. 42.6 Crore).

2.2 Quarterly Revenue Performance

Q1 FY24 (Apr-Jun 2023): Rs. 58 Crore — Moderate start. Seasonal slowdown in BFSI sector impacted enterprise deal closures. Two large deals pushed to Q2.

Q2 FY24 (Jul-Sep 2023): Rs. 67 Crore — Strong recovery driven by 3 large enterprise CRM deals with NBFC clients in Maharashtra and Gujarat. NovaCRM 4.0 launch in August triggered upgrade revenue from existing customers.

Q3 FY24 (Oct-Dec 2023): Rs. 82 Crore — Best quarter in company history. Growth driven by festive season WhatsApp campaign spike for e-commerce clients, year-end budget utilisation by enterprise IT clients, and successful expansion of Managed Services to 3 new banking clients. International revenue (UAE, Singapore) contributed Rs. 11 Crore in Q3.

Q4 FY24 (Jan-Mar 2024): Rs. 77 Crore — Slightly lower than Q3 due to payment delays from 2 government-adjacent clients, offset by strong SMB subscription renewals and new logo additions in the retail sector.

2.3 Revenue by Geography

Domestic revenue (India) accounted for 89% of total revenue (Rs. 252.8 Crore), with key clusters in Mumbai, Bengaluru, Delhi NCR, Hyderabad, and Pune. International revenue grew 180% YoY to Rs. 31.2 Crore, primarily from UAE (Rs. 19 Crore) and Singapore (Rs. 12.2 Crore). UAE market entered in Q2 FY24 through a partnership with Al Futtaim Group.

Section 3: Cost Structure and Profitability

3.1 Operating Expenses Breakdown

Employee costs are the largest expense at 48% of total operating costs (Rs. 117 Crore FY24 vs Rs. 89 Crore FY23). Growth reflects 32% headcount increase as the company scaled engineering and customer success teams. Infrastructure costs (AWS, Azure) grew 22% to Rs. 28 Crore, partially offset by renegotiated enterprise cloud contracts from November 2023.

3.2 Gross Margin Improvement

Gross margin improved from 46.6% in FY23 to 50.2% in FY24. The primary driver was the revenue mix shift toward higher-margin SaaS products (gross margin approx. 72%) versus lower-margin Professional Services (approx. 28% gross margin). NovaCRM's microservices architecture also reduced per-unit infrastructure costs by approximately 18%.

3.3 EBITDA Analysis

EBITDA expanded 45.2% to Rs. 61 Crore in FY24, with margin improving to 21.5% from 19.0%. This reflects operating leverage as fixed costs grew slower than revenue. Sales and marketing spend declined from 18% to 15% of revenue, indicating improving go-to-market efficiency. R&D investment maintained at 12% of revenue (Rs. 34 Crore) to fund continued product development.

Section 4: Risk Factors and Mitigation

4.1 Competitive Risk

The Indian CRM market is intensifying with Salesforce India, Zoho, and Freshworks increasing SMB and mid-market focus. NovaTech's key differentiator is deep India-specific compliance features (GST, TDS, Aadhaar eSign) and regional language support not natively offered by global players. Risk mitigated by continued R&D; and rapid product iteration (monthly releases).

4.2 Talent Retention Risk

Attrition rate for FY24 was 18.2%, vs industry average of 22% for Indian SaaS companies. Engineering attrition was 14.5%. Key retention: ESOPs for Band 5 and above, flexible working policy, and NovaTech Learning Academy. Compensation benchmarked bi-annually against Radford and Mercer surveys.

4.3 Data Security and Compliance Risk

As a SaaS company handling PII and financial data, NovaTech faces regulatory risk from the Digital Personal Data Protection Act (DPDPA) 2023. A DPDPA compliance consultant has been engaged; full compliance expected by Q2 FY25. ISO 27001 certification renewed January 2024 for a 3-year period.

4.4 Customer Concentration Risk

Top 10 customers contributed 34% of total revenue in FY24 (vs 41% in FY23), indicating improving diversification. The largest single customer (an NBFC in Maharashtra) contributes 7.2% of revenue. Target: reduce to below 5% by FY26 by broadening the SMB customer base.

Section 5: Strategic Outlook FY 2024-25

5.1 Revenue Guidance

Board-approved revenue guidance of Rs. 370-390 Crore for FY25, representing 30-37% growth.

Underpinned by: (1) NovaCRM AI module launch (August 2024) targeting 200 new enterprise logos, (2) UAE operations expansion with local sales team of 12 people, (3) NovaPay 2.0 for NBFC segment targeting Rs. 45 Crore in new ARR.

5.2 Product Roadmap Highlights

- NovaCRM AI (Q2 FY25): Generative AI features including email drafting, call summarisation, and deal coaching
- NovaPay 2.0 (Q2 FY25): Automated EMI collection, NACH mandate management, and NPA prediction for NBFCs
- NovaField 1.0 (Q3 FY25): Field sales management app for FMCG and pharma distribution networks
- NovaCRM Regional (Q4 FY25): Fully localised interface for Tier-2 and Tier-3 city SMBs

5.3 International Expansion

Following UAE entry in FY24, the company plans Saudi Arabia market entry in Q3 FY25 via a VAR partnership with a Riyadh-based systems integrator. Singapore operations will be expanded with 2 enterprise account managers. Combined international revenue target for FY25: Rs. 65 Crore.

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